

Palo Alto Networks

Recasting our Revenue Build into F4Q/FY27

Summary

Into Palo Alto's FY26 year end, we see a somewhat challenging setup give the stock's remarkable run (~140% since the April 10th Mythos announcement). While our checks remained mostly positive and we incrementally heard of more traction/interest in Prisma AIRS (AI security), we didn't sense a material uptick in tone. With the stock trading at 52x EV/FCF on CY27E, relative to ~15% proforma revenue growth (low double-digit organic). We also take an updated stab at mapping ARR to revenue, ahead of PANW's expected revenue segment disclosure.

Checks & Read throughs

Our checks remained broadly constructive, with partners describing strong July execution and continued momentum from platform consolidation initiatives, however one distributor partner cited slightly missing their own aggressive 4Q numbers. Firewall commentary was generally healthy, with partners citing stable demand across both hardware and software and continued enterprise spending on network security. We continue to view the broader firewall backdrop as favorable given strong recent results from FTNT and CSCO, while CHKP's weakness continues to be more company-specific and tied to GTM disruption. Beyond firewalls, SASE and Cloud were cited as key growth drivers, Prisma AIRS interest is building but remains largely in the evaluation stage, and our checks suggest ELA expansion/improving attach rates and while remaining constructive on the CyberArk opportunity.

Revenue Re-Segmentation

PANW's revenue resegmentation should ultimately provide a more intuitive view of performance across its core platforms and better align external reporting with ARR. We see network security revenue growth of 12%/11% y/y in FY26E/FY27E, Cortex growth of 32%/33% (28%/28% proforma for Chronosphere), and Idira revenue growth of 23%/23%. Overall, based on our analysis, we lower our FY27 ARR estimates modestly, now based on 23% y/y ARR growth and 15% y/y proforma revenue growth. While the new segment disclosure should provide a better link between revenue and ARR, we still see some room for debate around product revenue, which could become more opaque if PANW no longer offers segments by rev rec buckets (product/subs/services).

Valuation: We roll our valuation forward to CY28E and raise our PT to \$390 (\$300 prior) based on 46x CY28E FCF (42x CY27E prior). Details below.

Equities

United States
Software

12-month rating **Neutral**

12m price target **US\$390.00**
Prior : **US\$300.00**

Price (18 Aug 2026) **US\$374.14**

RIC: PANW.O BBG: PANW US

Trading data and key metrics

52-wk range US\$396.00-141.67
Market cap. US\$302b
Shares o/s 807m (ORD)
Free float 9%
Avg. daily volume ('000) 7,464
Avg. daily value (m) US\$2,325
Common s/h equity (07/26E) US\$27.7b
P/BV (07/26E) 9.8x
Net debt to EBITDA (07/26E) NM

EPS (UBS, diluted) (USD)

	07/26E			
	From	To	% ch	Cons.
Q1	0.93	0.93	0	0.93
Q2	1.03	1.03	0	1.03
Q3	0.85	0.85	0	0.85
Q4E	0.97	0.97	0	0.97
07/26E	3.78	3.78	0	3.77
07/27E	4.15	4.21	1	4.12
07/28E	4.92	5.05	3	4.81

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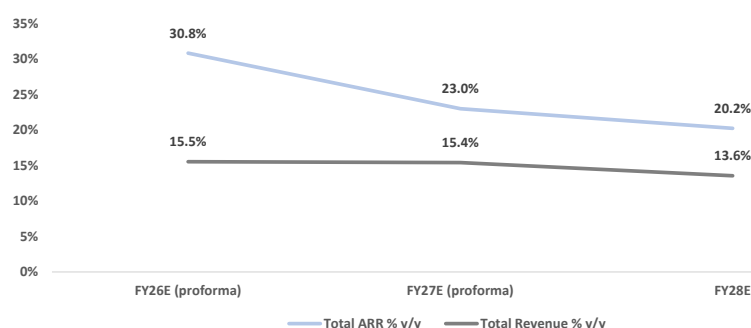
Highlights (US\$m)	07/23	07/24	07/25	07/26E	07/27E	07/28E	07/29E	07/30E
Revenues	6,893	8,028	9,222	11,425	14,059	15,965	18,020	20,202
EBIT (UBS)	1,660	2,190	2,652	3,330	4,126	4,859	5,676	6,577
Net earnings (UBS)	1,440	1,948	2,345	2,892	3,544	4,309	5,180	6,146
EPS (UBS, diluted) (US\$)	2.22	2.84	3.34	3.78	4.21	5.05	6.00	7.03
DPS (net) (US\$)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net (debt) / cash	399	1,615	2,903	2,279	7,549	14,012	21,356	29,632
Profitability/valuation	07/23	07/24	07/25	07/26E	07/27E	07/28E	07/29E	07/30E
EBIT (UBS) margin %	24.1	27.3	28.8	29.1	29.4	30.4	31.5	32.6
ROIC (EBIT) %	(132.9)	(189.1)	(423.4)	31.9	19.8	25.1	32.2	41.3
EV/EBITDA (UBS core) x	26.5	33.7	38.0	70.1	66.5	55.5	46.4	39.0
P/E (UBS, diluted) x	41.4	50.5	55.2	99.0	88.9	74.1	62.4	53.2
Equity FCF (UBS) yield %	4.7	3.5	2.9	1.4	1.7	2.1	2.4	2.7
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US\$ 374.14 on 18-Aug-2026 18:36:14 EDT

NEW REVENUE SEGMENTS

PANW's upcoming revenue resegmentation should provide investors with a more intuitive view of the business by aligning revenue disclosure with the company's three primary platforms: Network Security, Cortex, and Identity. While we believe the new structure will improve visibility into the major growth drivers across the portfolio, investors should not expect segment revenue and ARR to move in lockstep. Network Security includes a mix of hardware, software, subscriptions, and legacy products, creating several areas where revenue growth and ARR growth can still diverge. Cortex should provide a cleaner relationship between ARR and revenue given its largely recurring nature, though the \$300M ARR Chronosphere business has more of a consumption element to it ($ARR = MRR \times 12$). Within Identity, ARR should largely reflect the growth of the SaaS, term-license, and related maintenance streams, while reported revenue will also be influenced by perpetual-license-related revenue and professional services. Given these dynamics, and despite the limited disclosure available today, we attempt to estimate the revenue and ARR contribution of each segment below and outline how we think the business may look under the new reporting structure over the next several years.

Figure 1: Total ARR vs Total Revenue Proforma Growth



Source: UBS

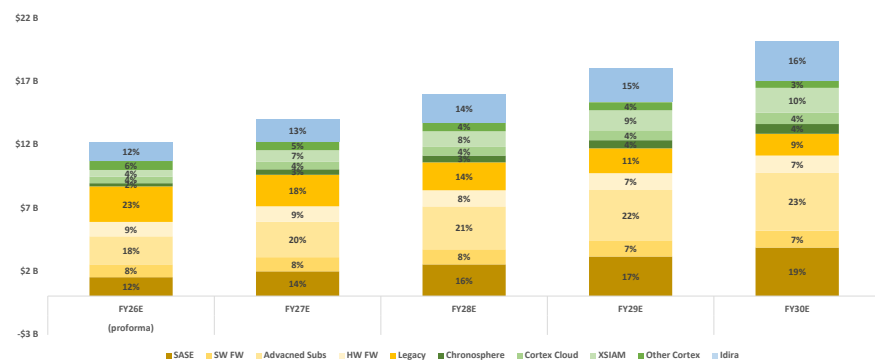
Network Security - We estimate Network Security will represent ~72% of FY26 revenue and ~56% of ARR, growing ~12% and ~30%, respectively, and remain PANW's largest business by a wide margin. The segment should include hardware and software firewalls, advanced subscriptions, SASE, Prisma AIRS, and legacy networking products. We continue to view SASE, software firewalls, advanced subscription attach, and AI-security offerings such as AIRS as the primary long-term growth drivers, while hardware firewall demand remains an important swing factor near term given the improved firewall backdrop. We estimate the business contributes roughly ~\$5Bn of ARR today, making it the largest ARR contributor across PANW's portfolio. While ARR should remain a useful demand indicator, we would not expect Network Security revenue growth to track ARR growth directly. Hardware revenue has no ARR equivalent, software firewall revenue benefits from partial upfront recognition, and NGS ARR excludes legacy firewall subscriptions (being converted to advanced subscriptions upon renewal) that we expect will remain within the revenue segment, creating several areas where revenue and ARR may diverge.

Cortex (SecOps And ITOps) - We estimate Cortex will represent ~16% of FY26 revenue and ~27% of ARR, growing ~32% (~18% organically) and ~45% (22% organically), respectively. The segment should include Cortex XDR, XSOAR, XSIAM, Cortex Cloud, Agentix, and observability assets acquired through Chronosphere and [Embrace](#). We would also expect newer AI-related acquisitions and capabilities, to fold into Cortex over time. Based on management's commentary, we estimate Cortex contributes roughly ~\$2.5Bn of ARR today, with XSIAM, Cortex Cloud, and Chronosphere representing the primary growth drivers. We continue to view SOC transformation, platform consolidation, and AI-enabled security workflows as the key drivers of long-term growth, while Agentix and other AI-security initiatives likely become more meaningful contributors over time than in the near term. Relative to Network Security, ARR should provide a cleaner view of underlying demand given the recurring nature of the business, though M&A and consumption-oriented businesses such as Chronosphere may create periods where reported revenue growth and ARR growth

diverge.

Idira (CyberArk) - We estimate Identity will represent ~12% of FY26 revenue and ~16% of ARR, growing ~23% and ~35%, respectively. The segment should include CyberArk's SaaS subscriptions, term-licenses, term-license maintenance, perpetual-license-related revenue, and professional services. Based on management's commentary, we estimate Identity contributes roughly ~\$1.4Bn of ARR today and remains one of PANW's fastest-growing platforms. Near term, we expect investors to focus on integration progress and cross-sell execution across the combined customer base, while the longer-term opportunity is centered on privileged access management, machine identity, and AI-agent security. ARR should largely reflect the growth of the SaaS, term-license, and related maintenance streams, while reported revenue will also be influenced by perpetual-license-related revenue and professional services, creating the potential for revenue and ARR growth to move somewhat differently over time.

Figure 2: Segment Revenue Contribution



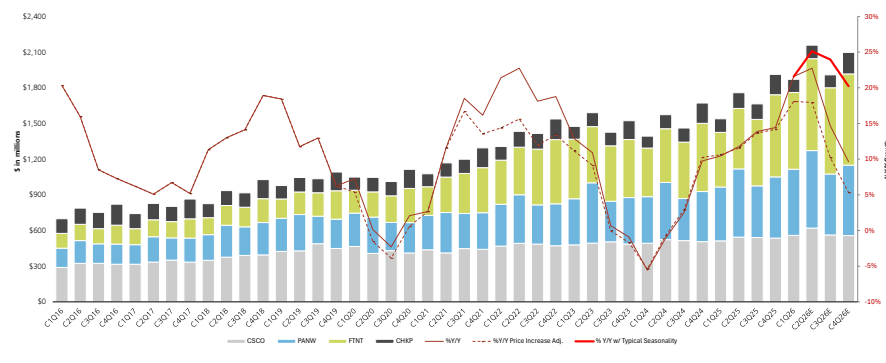
Source: UBS

THOUGHTS INTO THE FY END

In our Firewall market model (see below), incorporating reported results from FTNT, CSCO, and CHKP, we continue to believe the firewall product cycle likely peaked on a growth basis in CY1Q26, with pricing actions across the industry providing a meaningful tailwind to reported growth rates in both CY1Q and CY2Q. To that point, Fortinet disclosed that pricing contributed a high-single-digit benefit to C2Q billings growth and continues to embed a similar benefit in 2H26 billings growth, with mgmt indicating the impact to product growth was modestly higher. PANW reported ~23% adj product revenue growth in F3Q (31% reported including an ~8pt contribution from CyberArk), while Fortinet delivered 52% product growth in C2Q following 41% growth in C1Q. Cisco also reported 14% security revenue growth and disclosed firewall orders grew more than 30% in the quarter, reinforcing our view that demand remains healthy despite Check Point's continued firewall weakness, which we view as more reflective of ongoing GTM disruption than underlying market conditions.

Assuming typical seasonality product growth for PANW's F4Q, it would imply that the overall firewall market accelerated to ~25% in C2Q26. However, we use our F4Q product revenue estimate, ex-Cyberark of \$652M, or 14% y/y, (compared to the street's 10% y/y assumption assuming ~\$50M in product revenue from CyberArk in F4Q) which implies that overall firewall market product revenue of 22.7% in C2Q, a modest acceleration from ~21.6% in C1Q. While not every demand driver for FTNT is applicable to PANW, we see FTNT's ~20% q/q product growth in 2Q, relative to ~10% average over the previous 5 years, supporting above average product growth for PANW in 4Q. However on a price-adj basis in CY2Q26, this growth is equivalent to ~18% y/y, a 20bps moderation.

Figure 3: Firewall Market



Source: FactSet, Company Reports, UBSe

CHANNEL CHECKS

Building off the checks from our broader [C2Q Cyber Checks](#) and [2Q Firewall Preview](#), our PANW-specific checks were similarly constructive, with several partners describing a strong quarter, solid July execution, and continued benefits from platform consolidation across network, cloud, and SOC initiatives. That said, tone from partners sounded better in early July than in early August, in our view, with one partner suggesting they modestly missed their aggressive July numbers. On firewalls, feedback remained generally healthy, consistent with our broader firewall checks, with one partner reporting NGFW growth slightly above Fortinet and another highlighting stable demand across both hardware and software form factors. Looking ahead, partner commentary on pipeline was mixed, but generally encouraging, with two partners highlighting strong second half opportunities and limited signs of the typical post year-end slowdown, and one partner expressing some concern that aggressive enterprise agreement activity and favorable bundling economics could pull demand forward and weigh on future pipeline generation. Beyond firewalls, multiple partners pointed to SASE and Prisma Cloud as key growth drivers, with checks suggesting PANW continues to see success in SASE opportunities and broader platform standardization efforts. We also heard increasing interest in AI-related offerings, particularly Prisma AIRS, although partners generally described adoption as still being in the evaluation phase. Finally, partners highlighted continued ELA expansion activity, improving attach rates for newer products, and early cross-sell opportunities emerging from the CyberArk acquisition.

Partner #1:

- **(Early-July):** My Palo Alto NGFW business also delivered for us, performed slightly better than Fortinet, and did low teens growth and improved from Q1. Palo as a whole, we will probably land mid-teens for the quarter.
- **(Early-Aug):** Including July, we will end still on target, but maybe marginally better than what we were tracking to do early July. The growth was still driven by their top three best selling products. So starting with firewalls, both across software and physical states. Then I would say SASE is definitely #2, followed by Prisma Cloud. I would also say that Prisma AIRS is also gaining ground, although it is still early days. But I would say it is shaping up quite well. I think in the end state when it is reasonably mature, I think that the two direct beneficiaries would be Cortex XDR and by extension XSOAR. See, XSOAR has sort of fallen off the grid because nowadays, customers don't want orchestration automation. That is table stakes. Now they want workflow intelligence within your SOC and SecOps functioning. So I think AIRS will have a dual role to play.

Partner #2 (Early-Aug): We had a great year compared to last year. It was up nicely on a large base. And this is despite being about flat in July vs last year. I think we missed our July forecast by maybe 1 or 2 larger deals that barely didn't make it over the finish line, but will close this month and we will make it all up. Which is why I am not forecasting a large drop off in August vs July like usual when the pipeline normally gets emptied before year end. So while yes we were flat in July, which was unusual, I think we are going to have a great rest of the calendar year for Palo with August through November and December looking strong. The overall market continues to move away from individual point products and moving to their platform model. And while I wouldn't say

Palo is being generous, they are giving deeper discounts for bundling than they are for some of their point products, which I think maybe have impacted our numbers for this quarter. The good news is that when these deals renew, the renewal uplift on the bundles is going way up. Cortex is our #1, Prisma AIRS and AI products continue to be top of mind for CISOs. A lot of people are worried about the impact of AI as an antagonist or bad actor, and the larger enterprises are also worried about securing their own AI. AI as an attack and defend mechanism vs securing the AI, the LLMs, and the data and prompt injection and all that fun stuff are areas that the larger companies are really bigger now vs the smaller ones. Most small companies are using off the shelf or off the cloud LLMs. They are not building their own models. So I think that Palo is going to end up benefitting from all this very greatly. But for right now, Prisma AIRS is still very much in evaluation stage, it's early. However interest is really picking up, especially as customers look to their incumbent platforms first for these kind of things. Next-gen firewalls are still a key product. I'd say Palo probably was slightly down to flat on product vs their last quarter. It saw pretty good demand across both hardware and software form factors. But relative to maybe their F3Q, I think things feel like they have stabilized. I am not seeing the same pull forward or the delaying we saw from some I saw in F3Q. I think things have balanced out with no real concern about geopolitics, lead times, and to some extent price increases, which all the firewall vendors have started doing temporary surcharges. Then on CyberArk, I think we are going to see big movement this year. I think it hasn't been full consolidated yet into one company, but I think that is going to change this month. I really think they were waiting until the year to finish.

Partner #3 (Early-July): We are in the high season right now with the approach up to Palo Alto and Cisco security's fiscal year end. We are tracking towards our target with Palo, with a lot of those large agreements set to close in July. But in June, we already saw a good amount of activity, and I'd predict them to have a pretty monumental July. But I think some of the things they are doing might cannibalize future pipeline as they sprinkle the glitter in at lower cost, doing a lot of enterprise renegotiation, and recasting most of their enterprise agreements before they come to term. I am still seeing good double-digit expansion on those ELAs, and even larger uplift if it includes XSIAM. But more often than not, the kind of add-ons I am seeing are Prisma Browser and Prisma AIRS, but I am not seeing very much of Chronosphere. Then on SASE, I am seeing other players like a Cato and Palo Alto are having some success and seem highly consumable in the larger enterprise. Like for Palo Alto specifically, we are seeing them successfully tag Prisma SASE into large enterprise agreements, going after Zscaler and Netskope customers that are not happy. Their solution is typically pretty cost-effective and competitive. Lastly, Palo Alto has a bounty list of PAM customers who are using a different vendor than CyberArk, but are Palo accounts and are going after them very aggressively. We have seen good collaboration between what were the CyberArk teams and the Palo teams. So I think if Palo can retain some of its talent, sales and presales support specifically, I think they'll have a really good shot at leveraging their Palo footprints to displace whoever the other PAM vendor was. They are telling a compelling story about how it all plays together and what the incremental synergistic benefit will be of having Palo identity solutions alongside the broader platform.

Partner #4 (Early-July): I think Palo Alto has really benefited from the platform consolidation trends across areas like network, cloud, and SOC transformation initiatives. Then for cloud-native data security, posture management, and data discovery, Palo Alto has a really solid cloud security portfolio. Then when we talk about PAM for sensitive data, CyberArk is quite relevant. CyberArk is a big player and has a pretty good position in PAM and machine identity and all this conversation around AI agents. And I think PAM area becomes very relevant as customers start asking what identity does one of the agents have and what permissions should I allow it to exercise.

Partner #5 (Early-July): Palo Alto had a really, really solid quarter. They had an impressive performance, and we overachieved our targets. Also, while Zscaler is still considered the leader and strong player with large enterprises in Europe, Palo Alto is a real competitor here when it comes to SASE. This market is much more a replacement market than in the past with not a lot of new logos, but Zscaler is struggling to go into the mid-market where Palo Alto alongside Check Point, Cato Networks, and Fortinet in some situations are maintaining to growing their market share. The feeling is that Palo Alto is growing in the large enterprises, and that is reflected in our numbers. Also, Palo Alto is performing well with cloud security and SIEM.

Partner #6 (Early-July): Looking at the pipeline, we are going to be making some things up on the Cisco side and the Palo side.

Customer #1 (Early-July): We are still using Cortex to address prompt injection and data leakage concerns and have been for the last 6 months or so. We haven't felt the need to add any additional controls or solutions on top of it.

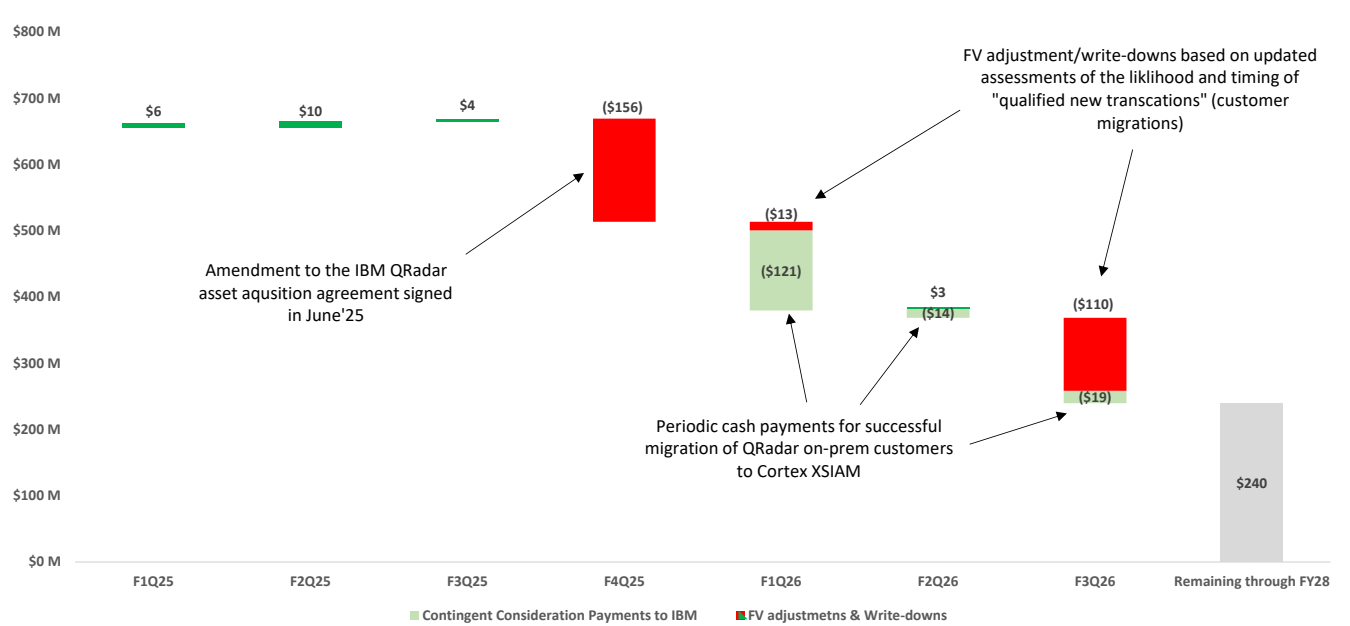
XSIAM AND THE SIEM SPACE

As we have laid out in previous research, we see the SIEM space as one of the most important growth drivers for PANW moving forward, given its relative lack of correlation to the core firewall and network security business, large market opportunity, and criticality to broader cybersecurity automation/modernization. While this is a business that continues to grow ~100% y/y for PANW, we believe internal expectations were that the business should be growing even faster (evident in the write-down last quarter to the post-closing payments liability to IBM).

Looking at the evolution of that contingent payment liability over the last seven quarters, PANW has reduced the originally estimated \$655M in contingent consideration by roughly one-third through a combination of successful customer migrations, amendments to the IBM agreement, and changes to management's assessment of the likelihood and timing of future qualified migration transactions. Most notably, PANW recorded a \$156M reduction tied to an amendment to the IBM agreement signed in June 2025, while additional fair-value adjustments reflected updated expectations around future QRadar migration activity. Importantly, the contingent consideration liability is tied to the migration of QRadar on-prem customers to Cortex XSIAM, whereas the QRadar SaaS assets were acquired as part of the upfront transaction consideration.

While these revisions do not change our view that XSIAM remains one of PANW's most important LT growth drivers, or that the conversion of QRadar SaaS (QROC) customers to XSIAM has been a meaningful part of the triple digit growth in XSIAM, they do suggest the pace of QRadar on-prem migrations has likely fallen short of the assumptions embedded at the time of the transaction. Several partners have continue to describe SIEM replacement cycles as complex and disruptive, with a customer arguing it is amongst the most difficult components of the security stack to replace.

Figure 4: Contingent Consideration Payments to IBM



Source: Company Reports

Moving to our checks, they continue to suggest XSIAM remains one of PANW's most important growth drivers, with partners consistently citing it as a top contributor to

growth and seeing continued momentum tied to SOC modernization and platform consolidation initiatives. However, commentary around Splunk displacement was more measured than in prior quarters. Notably, one customer argued that SIEM and orchestration platforms are among the most entrenched components of the security stack, comparing Splunk to other foundational systems that customers may upgrade but rarely replace given the extensive customization, operational dependencies, and workflows built around them. Supporting that view, one partner noted that replacing an incumbent SIEM remains a complex and potentially disruptive undertaking, while another indicated he is not seeing significant levels of XSIAM-driven Splunk displacement activity in the field. Several partners also highlighted the close linkage between XSIAM and Cortex XDR, noting that endpoint telemetry is foundational to realizing the full value proposition of PANW's next-generation SIEM platform. In that context, two partners described PANW as becoming increasingly aggressive and proactive in pursuing competitive endpoint displacements, frequently positioning Cortex XDR alongside XSIAM as part of broader platform consolidation discussions.

Partner #1:

- **(Early-July):** What is interesting is that I am not hearing Palo Alto XSIAM in terms of Splunk displacements all that much. I think there is a perception that XSIAM is like Splunk, despite that not being the reality. Also, Palo tries to impose its entire platform and that's not what all customers want to see.
- **(Early-Aug):** XSIAM is definitely in the top five Palo Alto products in terms of revenue and growth. But when it comes to displacing Splunk, both CrowdStrike's LogScale and Palo's XSIAM equally sort of have the edge over Splunk. This is especially the case where it is an incentive for customers to opt for platform consolidation. But between the two, I would say it is broadly even. LogScale has its advantages and XSIAM has a slightly different set of advantages depending on use cases. There is not such a clear winner as I see it right now.

Partner #2 (Early-Aug): I think for large enterprise deals, Palo's XSIAM is the leader. The bundle they package it with, Cortex XSIAM is pretty compelling. It continues to gain traction and momentum in the customer base. It is one of the bigger growth drivers for them. And I definitely see them getting more aggressive around CrowdStrike's endpoint install base with Cortex XDR with this.

Partner #3 (Early-July): I am seeing endpoint tied to this AI panic, but it is more so one step removed from things that are a market mover trend right now like next-gen SIEM and SOC modernization. This is because SIEM technology is very much predicated on the endpoint. So for Palo with like XSIAM, having Cortex XDR is really the only way for a customer to realize the full feature set and potential of that solution. That being, Palo has gone on the offensive and gotten really aggressive in early April before Mythos and has been doing proactive proposals to try and displace CrowdStrike and Microsoft. While I haven't seen a whole lot of that come to fruition in terms of deals, they are very active in the endpoint category. I have seen proposals where they come in significantly less expensive than CrowdStrike, but it is bundled with their SIEM solution to displace Splunk in the environment. However, while yes customers want to modernize their SOC and are looking at the next-generation SIEM technology from Palo and CrowdStrike, but to wholesale disrupt the hub of those environments, which is the SIEM, presents risk and it is expensive. So I think legacy providers like Splunk may be holding in places now, whereas pre-Mythos customers were talking about minimizing or optimizing log ingest. Now the recommendation is log everything. Also from my understanding, the log ingest from Cisco firewalls in Splunk is free.

Partner #5 (Early-July): On SIEM, Palo's XSIAM definitely has an opportunity in Europe with NIS2 regulations requiring customers to maintain logs and ingestion for a specific time. So XSIAM is performing well, but not at the same level of CrowdStrike's NGSIEM, it is lower growth for Palo Alto. The pipeline looks good and has a positive trend though.

Customer #2 (Early-July): If you have tools which have a data foundation, these are tools you will not switch. Like if you have an SAP database system, you may upgrade but not switch away. Second, if you have an orchestration layer or cybersecurity, these are things you cannot replace, like Splunk on the shop floor. I think the biggest threat is not switching from one software vendor to another, it's building in-house. There's never been a software solution that works perfectly out of the box. You have to customize a ServiceNow deployment. There's also a speed and cost consideration in resources you

have. I believe the margins software companies have will never be the same because the customer now has more to do it in-house but also these workloads are compute heavy so that's more spend going to the direct execution of the task, mainly GPUs. So software that is not data or cyber.

CHRONOSPHERE DYNAMICS

Our checks continue to suggest Chronosphere remains in the early innings within PANW. While the business has continued to report rapid ARR growth as it scales, partner commentary indicates the platform is not yet being broadly pulled into larger platform consolidations or observability transformations. The recurring feedback is that Chronosphere remains strongest in cloud-native infrastructure observability, but is not yet universally viewed as a full-stack observability platform capable of displacing incumbent vendors across every use case. While one partner noted not seeing many customers move forward with it post-PoC, another highlighted that customer interest likely remains concentrated within PANW's existing installed base rather than originating as a standalone observability decision. At the center of this debate is the view that Chronosphere has historically lacked an APM suite and a mature logs product, making broader consolidation opportunities more difficult. PANW's [acquisition of Embrace](#) and addition of Real User Monitoring (RUM) and synthetic monitoring capabilities begins to address this critique, moving the platform closer to a more comprehensive observability offering. While still early, our only post-acquisition check suggested these additions have the potential to improve customer conversations and expand the range of observability discussions where Chronosphere can credibly compete.

The more interesting debate is how investors should think about Chronosphere's growth profile once the migration of its largest frontier-model customer reaches a steadier state. Chronosphere's observability ARR grew from over \$200M in F2Q26 to over \$300M in F3Q26, with management attributing the majority of new business to increased consumption at their largest customer. Management further indicated it expects consumption and ARR from that customer to grow again, with similar sequential NNARR contribution in F4Q26 as the migration nears completion. While this migration has driven an unusually large NNARR contribution over the past several quarters, management has also suggested Chronosphere should return to a more normalized growth cadence once the transition is complete, implying F4Q26 may represent the final quarter of outsized benefit from the migration itself.

It is also worth remembering that Chronosphere operates under a commitment-plus-consumption model, meaning ARR can move ahead of committed levels during periods of accelerating usage, which appears particularly relevant given the consumption trends management has described. Importantly, we do not view the normalization of migration-driven NNARR as diminishing the strategic significance of the asset. Rather, the key takeaway is that some of the world's largest AI-native deployments are increasingly relying on Chronosphere for observability at scale, with management noting adoption by two of the top five frontier AI labs. Recent commentary from Datadog's 2Q26 results around usage moderation in July at its largest customer may raise questions regarding broader observability spending trends or potential share movements. While Datadog noted it is not aware of competitive displacement to other observability vendors at that customer, the underlying cause remains difficult to assess from the outside. Potential explanations range from spend rationalization and efficiency efforts, share shifts between vendors, increasing use of internal tooling, or changes in underlying workload growth at that model provider. For now, though, we are defaulting to the first two explanations, but would still be cautious about drawing direct conclusions from those disclosures alone. Instead, we think the more relevant observation is that Chronosphere continues to demonstrate strong adoption within some of the most demanding AI environments in production today, with management noting adoption by two of the top five frontier AI labs, supporting its long-term thesis even as migration-driven growth begins to normalize.

Partner #1 (Early-Aug): Chronosphere is still early days. I think Palo has a long game in mind for Chronosphere because as a product, it is focused on your Kubernetes and then basically on the dev side. So, it is not a core observability platform, although they did launch something right around the time they were acquired. But it is still early days.

Partner #2 (Early-Aug): Right now, I am not so much seeing it included in bundles. I mean eventually, I think it makes sense that it would be added in. They are obviously competing against Splunk's observability as well as Datadog and Dynatrace. I just again think that again if you have Palo's platform, then Chronosphere is going to be an easier go-to. But if you don't have Palo, you aren't going to buy Chronosphere. I do think adding RUM and synthetics changes customer conversations a little bit because observability is on the minds of many businesses and not everyone has a solution there. So I look at this kind of almost like the Microsoft platform where if you needed a reporting and analytics tools, you probably wouldn't go buy PowerBI unless you had another Microsoft product in-house.

Partner #3 (Early-July): I am not seeing very much of Chronosphere. I have had a couple larger customers take a look at it and decide to not move forward with it, maybe it is because it is only solving one part of the observability problem, but Chronosphere is not appearing on those POs.

Figure 5: UBSe vs Street

	Jul-26E	FY26E	FY27E
UBSe revenue	3,355	11,425	14,059
YYY %	32%	24%	23%
Street revenue	3,350	11,418	13,830
YYY %	32%	24%	21%
Guidance	3,345 - 3,355	11,415 - 11,425	
UBSe NGS ARR	8,925	8,925	10,978
YYY %	60%	60%	23%
Street NGS ARR	8,914	8,914	10,883
YYY %	60%	60%	22%
Guidance	8,900 - 8,950	8,900 - 8,950	
UBSe Billings	4,792	13,715	15,960
YYY %	29%	31%	16%
Street Billings	4,642	13,392	15,589
YYY %	25%	28%	16%
UBSe OPM	29.3%	29.1%	29.4%
Street OPM	29.3%	29.1%	29.5%
UBSe FCF	1,400	4,259	5,269
YYY %	50%	23%	24%
Street FCF	1,256	4,249	5,249

Source: FactSet, UBSe

PRE-QUIET TAKEAWAYS

We caught up with Palo Alto Networks management ahead of their quiet period and our takeaways were as follows. Management reiterated its plans to provide revenue segmentation that better reflects how the business is managed internally, with reporting organized around Network Security, Cortex (SecOps and ITops), and Identity Security. The company believes this will provide investors with greater visibility into the underlying growth drivers across the portfolio, including areas such as observability within Cortex. Management also provided an update on its large AI frontier customer migration, noting the transition remains on track and consumption trends continue to be very strong. Within Cortex, management highlighted the significant uplift associated with customers upgrading from endpoint and SOAR products to XSIAM, which remains an important driver of platform adoption. The company further noted that the majority of XSIAM deployments are coming from new logos, supported by strong net retention and expansion trends, although initial ACVs may trend lower as Palo Alto broadens its reach into a larger customer base. Finally, management reaffirmed the strategic importance of endpoint security, noting that it intends to be a leader in the category and believes the acquisition of Koi Security further strengthens its competitive positioning.

VALUATION & ESTIMATE CHANGES

We make modest updates to the out years of our model into F4Q26 results, however leave our estimates intact for F4Q26 and FY26. We slightly bring down our FY27E NNARR, as Chronosphere returns to a more typical cadence post the migration of their largest customer (large frontier model provider) from their incumbent observability vendor. We also make modest adjustments to our Idira (Identity Security) NNARR expectations as well as the core solutions, as we now model ~\$11B in NNARR for FY27. We then alter some expectations around certain products within the new reporting segments, particularly Cortex XSIAM growth and some legacy solutions and their rate of deceleration. This leads to an increase in our total revenue for both FY27/28. Lastly, we slightly lower FCF in FY27 but increase our estimate in FY28 and model 40.5% FCFm as we expect the full synergy realization of the CyberArk and Chronosphere acquisitions to occur in FY28.

We then roll our valuation forward to CY28E and increase our PT from \$300 to \$390, maintaining our Neutral rating. Our revised price target is based on 46x our modestly raised CY28 FCF estimates (42x CY27E previously), reflecting some benefit from the broader cyber space re-rating, continued execution on the integration/expansion of its industry-leading platform breadth, and maintaining a consistent premium to both its networking security peers. We believe this is justified considering its strong and improving margin profile (41% CY28E FCFm vs peer median of 38%), and its low teens growth (13% CY28E vs 8% median for NetSec peers). At the same time, PANW continues to trade at a premium to the broader cybersecurity peer group given its platform breadth, strong growth within CyberArk/Idira and Chronosphere assets, and stronger overall growth profile on a much larger and scaled base (13% vs 11% median in CY28E). Our 46x CY28E FCF multiple implies roughly a ~105% premium to the cybersecurity peer group, broadly in line with the ~100% premium embedded in our prior 42x CY27E framework. Trading at 52x CY27E FCF, or roughly 1.27x above the NetSec peer average today, we believe the current valuation is already pricing in mid-to-high teens growth, above provided guidance, and view the risk/reward skew more balanced heading into F4Q26 results.

Figure 6: New vs. Old Estimates

	FQ4 2026			FY 2026			FY 2027			FY 2028		
	Old	New	% Change	Old	New	% Change	Old	New	% Change	Old	New	% Change
Total Revenue	\$3,355	\$3,355	0.0%	\$11,425	\$11,425	0.0%	\$13,799	\$14,059	1.9%	\$15,469	\$15,965	3.2%
Total ARR	\$8,925	8,925.4	0.0%	8,925.1	8,925.4	0.0%	11,151.9	10,978.2	-1.6%	13,544.3	13,200.1	-2.5%
NetSec ARR	\$5,052	5,052.0	0.0%	5,052.0	5,052.0	0.0%	6,300.0	6,261.7	-0.6%	7,626.3	7,593.7	-0.4%
Cortex ARR	\$2,458	2,458.0	0.0%	2,458.0	2,458.0	0.0%	3,001.8	2,948.8	-1.8%	3,592.9	3,455.3	-3.8%
Idira ARR	\$1,415	1,415.3	0.0%	1,415.0	1,415.3	0.0%	1,850.1	1,767.7	-4.5%	2,325.1	2,151.1	-7.5%
Operating Income	\$985	\$985	0.0%	\$3,330	\$3,330	0.0%	\$4,053	\$4,126	1.8%	\$4,710	\$4,859	3.2%
Operating Margin	29.3%	29.3%	0 bps	29.1%	29.1%	0 bps	29.4%	29.4%	-2 bps	30.4%	30.4%	-1 bps
EPS	\$0.97	\$0.97	0.0%	\$3.78	\$3.78	0.0%	\$4.14	\$4.21	1.5%	\$4.92	\$5.05	2.6%
RPO	20,950.8	20,950.8	0.0%	20,950.8	20,950.8	0.0%	24,093.4	24,093.4	0.0%	27,105.1	27,105.1	0.0%
% Y/Y	32.6%	32.6%	0 bps	32.6%	32.6%	0 bps	15.0%	15.0%	0 bps	12.5%	12.5%	0 bps
ARR	8,918.8	8,925.4	0.1%	8,918.8	8,925.4	0.1%	11,116.4	10,978.2	-1.2%	13,480.6	13,200.1	-2.1%
% Y/Y	59.8%	60.0%	12 bps	59.8%	60.0%	12 bps	24.6%	23.0%	-164 bps	21.3%	20.2%	-103 bps
Free Cash Flow	\$1,395	\$1,400	0.4%	\$4,254	\$4,259	0.1%	\$5,344	\$5,269	-1.4%	\$6,251	\$6,464	3.4%

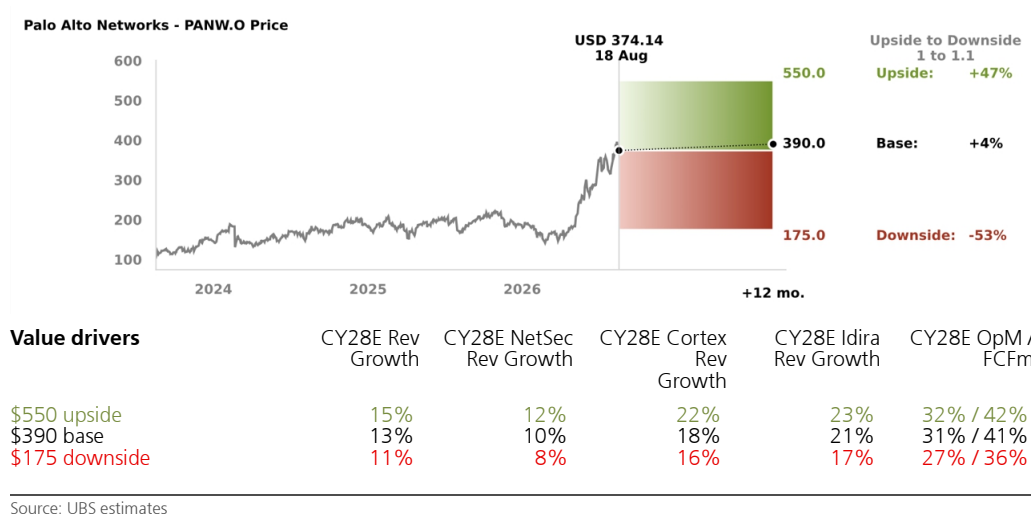
Source: UBSe

Figure 7: Peer group valuation

	Mkt Cap	EV/Sales			YoY% Sales Growth			CAGR	EV/S:G	EV/FCF			FCF Margin			"Rule of 40" (FCF-Based)		
	8/18/2026	CY26E	CY27E	CY28E	CY26E	CY27E	CY28E	CY25A-28E	CY27E	CY26E	CY27E	CY28E	CY26E	CY27E	CY28E	CY26E	CY27E	CY28E
Check Point Software	\$13,487	4.7x	4.5x	4.3x	3%	6%	4%	4%	0.80	11.2x	10.8x	10.3x	42%	41%	41%	45%	47%	46%
CrowdStrike	\$219,632	36.5x	29.9x	24.6x	24%	22%	22%	22%	1.36	NM	91.3x	72.7x	30%	33%	34%	54%	55%	55%
Fortinet	\$116,912	13.9x	12.5x	11.2x	19%	11%	12%	14%	1.09	37.5x	34.6x	31.4x	37%	36%	36%	56%	48%	47%
Okta	\$25,574	7.4x	6.8x	6.2x	10%	9%	10%	10%	0.72	27.0x	23.8x	21.1x	27%	28%	29%	37%	38%	39%
Qualys	\$6,585	8.4x	7.8x	7.3x	10%	8%	7%	9%	0.95	20.3x	18.6x	17.3x	42%	42%	42%	52%	50%	49%
Rapid7	\$855	1.3x	1.3x	1.3x	-2%	-1%	2%	0%	-1.86	8.6x	7.8x	6.8x	16%	17%	19%	13%	17%	22%
SentinelOne	\$7,579	5.7x	4.8x	4.2x	20%	18%	16%	18%	0.27	76.2x	36.7x	26.5x	7%	13%	16%	27%	31%	31%
Tenable	\$4,134	3.9x	3.6x	3.4x	8%	7%	7%	7%	0.50	15.7x	14.0x	12.4x	25%	26%	28%	33%	33%	34%
Varonis Systems	\$5,020	6.6x	5.5x	4.8x	18%	19%	17%	18%	0.29	45.5x	30.9x	25.5x	15%	18%	19%	33%	37%	35%
Zscaler	\$29,850	7.7x	6.6x	5.7x	20%	17%	16%	18%	0.40	33.1x	26.6x	20.4x	23%	25%	28%	44%	42%	44%
Mean		9.6x	8.3x	7.3x	13%	12%	11%	12%	0.45	30.6x	29.5x	24.4x	26%	28%	29%	39%	40%	40%
Median		7.0x	6.1x	5.2x	14%	10%	11%	12%	0.61	27.0x	25.2x	20.8x	26%	27%	29%	40%	40%	42%
Palo Alto Networks	\$301,931	22.5x	19.8x	17.5x	33%	14%	13%	20%	1.41	59.5x	51.7x	43.0x	38%	38%	41%	71%	52%	54%

Source: FactSet, UBSe, VisibleAlpha

UPSIDE/DOWNSIDE SPECTRUM



Risk to the current share price is balanced

UPSIDE (\$550): Based on 62x EV/FCF on UBS CY28E. Our upside scenario involves a revenue CAGR of 22%, underpinned by Network Security growth in the low-double digits as PANW realized better than expected revenue growth from new product releases, incremental software firewall demand driven by exploding AI workloads, accelerated Prisma/Cortex cross-sell into the Idira installed base, and faster-than-expected XSIAM displacement of legacy SIEMs drives NGS ARR growth above current expectations. Additionally, efficiency gains from faster than expected integration of CyberArk (rebranded as Idira) along with other cost initiatives drive better than expected FCF margin expansion. This upside multiple is a premium to PANW's cyber comp group and 3yr average multiples on NTM FCF.

BASE (\$390): Based on 46x EV/FCF on UBS CY28E.

DOWNSIDE (\$175): Based on 24x EV/FCF on UBS CY28E. Our downside scenario involves an 18% revenue CAGR with product in the low single digits, leading the Network Security segment to grow high-single-digits. In this scenario, PANW hardware revenue slows down more than expected, sales force adjustments cause friction, growth products don't see share gains required to support growth, and integrations of recent acquisitions, particularly CyberArk, present more material execution risk than previously thought.

Forecast returns

Forecast price appreciation	4.2%
Forecast dividend yield	0.0%
Forecast stock return	4.2%
Market return assumption	9.2%
Forecast excess return	-4.9%

Company Description

Palo Alto Networks provides cybersecurity solutions to protect enterprises from malicious cyberthreats across Cloud, on-premise, and hybrid IT environments. The company has expanded beyond its next-generation firewall and perimeter-based security roots, with a growing portfolio of organic and inorganically built subscription offerings now addressing Cloud, user, network, and DevOps defenses. The company went public in 2012, was founded in 2005, and is based in Santa Clara, California.

UBS EPS and Consensus EPS

The UBS EPS is an adjusted diluted EPS metric. It is calculated using the UBS analyst's interpretation of earnings suitable for valuation purposes divided by the diluted number of shares. This may differ to the way the consensus EPS metric has been calculated.

Valuation Method and Risk Statement

Key risks: 1) enterprise Cloud migration lowering appetite for traditional perimeter security solutions; 2) software-only virtual appliances demand cannibalizing product growth; 3) enterprises trading-down to lower throughput appliances as they refresh; 4) increased pricing pressure as a result of the above macro trends; 5) compressing contract durations hurting billings growth. We value PANW on an EV/FCF basis.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Palo Alto Networks

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	4
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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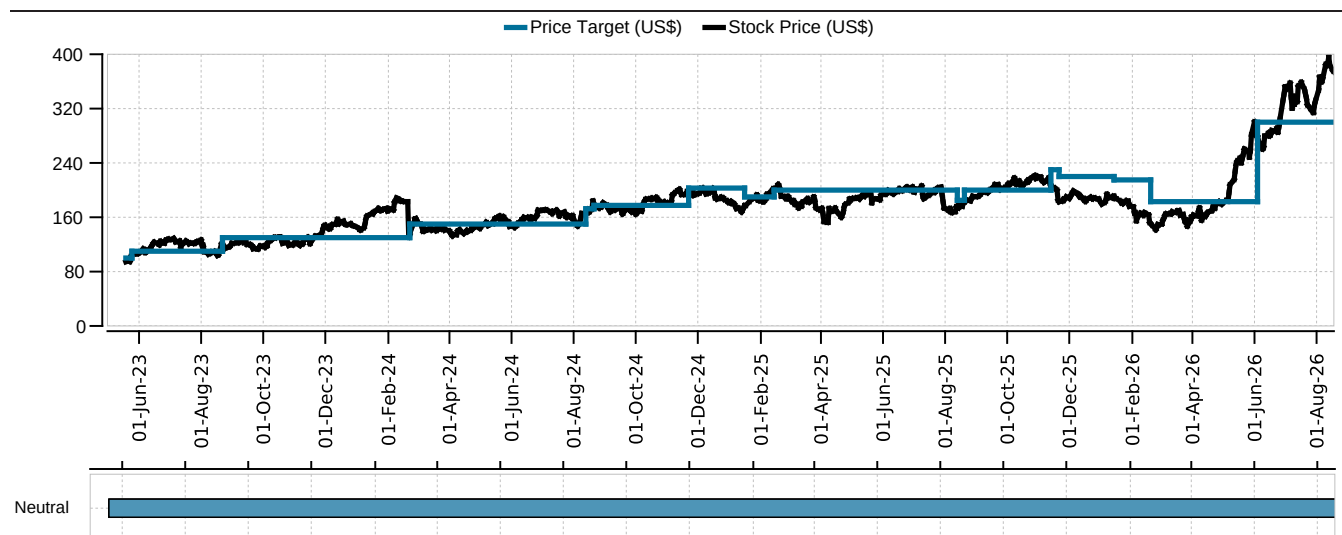
Company Name	Reuters	12-month rating	Price	Price date
Palo Alto Networks ^{4,16,6,28}	PANW.O	Neutral	US\$374.14	18 Aug 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Palo Alto Networks (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2023-05-18	94.86	100.00	Neutral
2023-05-24	102.16	110.00	Neutral
2023-08-21	120.41	130.00	Neutral
2024-02-21	130.99	150.00	Neutral
2024-08-12	165.55	172.50	Neutral
2024-08-20	184.01	177.50	Neutral
2024-11-21	198.85	203.00	Neutral
2025-01-15	174.19	190.00	Neutral
2025-02-13	201.88	200.00	Neutral
2025-08-12	175.40	185.00	Neutral
2025-08-19	181.56	200.00	Neutral
2025-11-12	210.04	230.00	Neutral
2025-11-20	185.07	220.00	Neutral
2026-01-13	190.85	215.00	Neutral
2026-02-18	152.35	183.00	Neutral
2026-06-03	280.43	300.00	Neutral

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